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Case Number: 25STCV26537 Hearing Date: July 28, 2026 Dept: 509

Sukut Construction, LLC v. Geosttructural Engineering, Inc., et al.

MOTION FOR ORDER UNDER CIVIL CODE §9408 FOR RELEASE OF FUNDS WITHHELD PURSUANT TO STOP PAYMENT NOTICE

MOVING PARTY: Plaintiff Sukut Construction, LLC

RESPONDING PARTY(S): Defendant Geosttructural Engineering, Inc.

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Sukut Construction, LLC (Plaintiff) brings this action against defendants Geosttructural Engineering, Inc. (GEI) and the California Department of Transportation (CalTrans, collectively Defendants) seeking money owed pursuant to a construction contract. Plaintiff brings causes of action for: (1) breach of contract; and (2) declaration of rights for release of funds withheld pursuant to stop payment notice (Civil Code § 9408).

There is a related action, Geosttructural Engineering, Inc. v. Sukut Contruction, LLC, et al. (LASC No. 26STCV01246) in which GEI alleges that Plaintiff breached contracts relating to the same construction contracts.

Now, Plaintiff moves for an order under Civil Code, section 9408 for release of funds withheld pursuant to stop payment notice. GEI opposed.

TENTATIVE RULING:

Plaintiff's Motion to Release Funds Withheld Pursuant to Stop Payment Notice is DENIED.

GEI is ordered to give notice, unless waived.

DISCUSSION:

Motion to Release Funds

I. Judicial Notice

Plaintiff seeks judicial notice of Exhibits 1-4. Pursuant to Plaintiff's request and without objection, Plaintiff's request for judicial notice is GRANTED.

II. Analysis

This is a motion to release funds withheld pursuant to a stop payment under Civil Code, section 9408. Plaintiff argues that GEI has not initiated a timely action on the stop payment and therefore, the funds should be disbursed pursuant to Civil Code, section 9502.

Civil Code, section 9502 states:

The claimant shall commence an action against the public entity and the direct contractor to enforce payment of the claim stated in a stop payment notice not later than 90 days after expiration of the time within which a stop payment notice must be given.

[...]

If a claimant does not commence an action to enforce payment of the claim stated in a stop payment notice within the time provided in subdivision (b), the notice ceases to be effective and the public entity shall release funds withheld pursuant to the notice.

(Civ. Code §9502, subd. (b) &(d).)

Most facts are undisputed. "It is not disputed that the deadline to commence such action accrued April 11, 2026." (Opp. at p. 2.) "It is not disputed that GEI commenced an action against SUKUT in a related action [Related Case: 26STCV01246] on January 14, 2026." (Ibid.) It is not disputed that the related action's complaint's "first three causes of action allege Sukut breached three agreements and seeks \$1,961,160.00, \$1,186,840.00, and \$1,795,120.00, respectively. Its fourth cause of action pleads common counts against Sukut for \$4,943,120.00. Its fifth cause of action seeks \$1,961,160.00 against Sukut and Liberty Mutual on a payment bond." (Reply at p. 4:21-24.) Caltrans is a party to that related action but does not have a cause of action alleged against it. (See RJN, Exh. 4.)

Instead, the dispute arises whether this related action is sufficient to comply with the requirements of Civil Code, section 9502(b). Plaintiff argues that the separate action is not an action to enforce the stop payment notice. GEI argues that the complaint is a separate action to enforce the stop payment notice or GEI would be able to amend the complaint to fix any deficiencies.

As an initial matter, the Court is unconvinced that filing an amended complaint would "relate back" and render the action retroactive timely. "If such proceedings are not initiated the stop notice is not perfected as required by [Former] section 3210, and the public entity must automatically release the funds to the contractor or to other persons to whom they are due." (A. J. Setting Co. v. Trustees of Cal. State University & Colleges (1981) 119 Cal.App.3d 374, 382–383, emphasis added.) Either the proceedings are timely and properly initiated, or funds are automatically released. The statute "imposes strict time constraints within which to commence such proceedings." (Id. at p. 383.) An amendment filed well beyond the strict statutory limit would not render the action timely as funds should have been automatically disbursed when the proceeding failed to be initiated. Instead, the action and its filings as of April 11, 2026, must stand alone.

The Court finds the related action Geosstructural Engingeering, Inc. v. Sukut Construction, LLC, et al. (LASC No. 26STCV01246) to be a timely "action against the public entity and the direct contractor to enforce payment of the claim stated in a stop payment notice." (Civ. Code §9502, subd. (b).)

First, the action is against the public entity (CalTrans) and the direct contractor (Plaintiff). While there appears to be no direct cause of action alleged against Caltrans, they are still a named defendant in the action. This appears sufficient to be an "action against the public entity and the direct contractor." (Civ. Code §9502, subd. (b).)

Second, the action is brought "to enforce payment of the claim stated in a stop payment notice." (Civ. Code §9502, subd. (b), emphasis added.)

The claim stated in the stop payment notice reads:

The labor and/or materials furnished by claimant are of the following general kind: Anchored double twisted / wire mesh and turf reinforcement. Direct contractor is Sukut Construction, LLC, 4010 West Chandler Avenue, Santa Ana, CA 92704.

The labor and/or materials were furnished to or for the following party: Sukut Construction, LLC, 4010 West Chandler Avenue, Santa Ana, CA 92704. The relationship of the Claimant to the other parties is: Subcontractor.

The value of the whole amount of labor and/or materials agreed to be furnished is \$1,961,160.00. The value of the labor and/or materials furnished to date is \$1,961,160.00. Claimant has been paid the sum of \$0.00, and there is due, owing and unpaid the sum of \$1,961,160.00 together with interest at the rate of 0.00 percent per annum from June 23, 2023.

(Compl., Exhibit 5.)

The stop payment notice claims Plaintiff failed to pay for "Anchored double twisted / wire mesh and turf reinforcement" (Compl., Exhibit 5.) The first cause of action in the related action's complaint seeks payment for "Item 46 - Anchored Double Twisted Wire Mesh" and "Item 47 - Turf Reinforcement Mat." (RJN, Exh. 4 at Exh. A.) The stop claim notice requests the "unpaid the sum of \$1,961,160.00" (Compl., Exhibit 5.) GEI's complaint requests "1,961,160.00 plus interest according to proof." (RJN Exh. 4 at p. 4.) It appears that GEI's complaint filed January 14, 2026, seeks to recover the identical claim presented in the stop payment notice.

Plaintiff argues the "action does not allege a cause of action to enforce a stop payment notice and does not seek relief under the stop payment notice statutes." (Mot. at p. 6:26-28.) However, Plaintiff does not provide, and the Court has not found any authority that interprets the statutory language of Civil Code, section 9502, to require a specific cause of action or specific language. The statutory language, as discussed above, only requires that the action is brought "to enforce payment of the claim stated in a stop payment notice." (Civ. Code §9502, subd. (b).) By the plain language of the statute, GEI has done so. [FN 1]

Accordingly, Plaintiff's Motion to Release Funds Withheld Pursuant to Stop Payment Notice is DENIED.

IT IS SO ORDERED.

Dated: July 27, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

FN 1 - See also, Civil Code §3528 ["The law respects form less than substance."]

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.